Chapter 12: Factor Markets, Labor Demand, and Wage Determination

Principles of Microeconomics Curriculum

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Abstract

This chapter provides a rigorous, pedagogical treatment of Chapter 12: Factor Markets, Labor Demand, and Wage Determination, benchmarked to standard principles curriculum.

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1 Derived Labor Demand

A competitive firm hires labor where Marginal Revenue Product equals the market wage:

$$MRP_L = MP_L \times P = W \tag{1}$$

2 Monopsony Power

A monopsonist faces an upward-sloping labor supply, so Marginal Factor Cost exceeds wage ($MFC_L > W$). Firms hire where $MRP_L = MFC_L$ and pay $W < MRP_L$. Binding minimum wages can raise both wage and employment under monopsony.